# COMMERCIAL LEASE AGREEMENT

(Office Space)

This Commercial Lease Agreement (the "Lease") is made as of November 10, 2022, by and between **Summit Asset Group LLC**, a Ohio business entity ("Landlord"), and **Blue Heron Logistics LLC**, a Florida business entity ("Tenant").

### 1. Premises

Landlord leases to Tenant, and Tenant leases from Landlord, the premises known as Suite 590, 441 Oak Lane, Tucson, AZ 85701 (the "Premises"), consisting of approximately 4,100 rentable square feet, together with the non-exclusive right to use the common areas of the building (the "Building").

### 2. Term

The term of this Lease (the "Term") shall be sixty (60) months, commencing on January 1, 2023 (the "Commencement Date") and expiring at 11:59 p.m. on December 31, 2027 (the "Expiration Date"), unless sooner terminated in accordance with this Lease.

Landlord shall use reasonable efforts to deliver possession by December 27, 2022. Tenant may enter the Premises to install furniture and equipment from December 25, 2022, without payment of rent for that period.

### 3. Base Rent

Tenant shall pay base rent ("Base Rent") at the initial rate of $21,263.97 per month, payable in advance on the first day of each calendar month during the Term, without demand, deduction or setoff, by ACH transfer.

Base Rent shall increase by four percent (4%) on each anniversary of the Commencement Date over the Base Rent for the preceding Lease Year. Parking is charged separately at $175.00 per space per month.

| Lease Year | Period | Monthly Base Rent |
|---|---|---|
| 1 | Jan 1, 2023 - Dec 31, 2023 | $21,263.97 |
| 2 | Jan 1, 2024 - Dec 31, 2024 | $22,114.53 |
| 3 | Jan 1, 2025 - Dec 31, 2025 | $22,999.11 |
| 4 | Jan 1, 2026 - Dec 31, 2026 | $23,919.07 |
| 5 | Jan 1, 2027 - Dec 31, 2027 | $24,875.83 |

### 4. Security Deposit and Late Charges

Upon execution of this Lease, Tenant shall deposit with Landlord the sum of $21,263.97 as security for the faithful performance of Tenant's obligations (the "Security Deposit"). Landlord shall return the balance within sixty (60) days after the Expiration Date.

Tenant shall also pay a refundable key and access card deposit of $125.00. Rent not received within five (5) days after its due date shall bear a late charge equal to five percent (5%) of the overdue amount.

### 5. Additional Rent

Tenant shall pay, as Additional Rent, its proportionate share (4.9%) of the amount by which real estate taxes and operating expenses for any calendar year exceed those for the base year 2023. Landlord shall provide a statement of such charges within one hundred twenty (120) days after each calendar year, and Tenant may audit the statement within ninety (90) days after receiving it.

**6. Use of Premises**

Tenant shall use the Premises solely for general office purposes and for no other purpose without Landlord's prior written consent. Normal Building hours are 8:00 a.m. to 7:00 p.m. on business days.

**7. Maintenance and Repairs**

Tenant shall keep the interior of the Premises in good order and condition, ordinary wear and tear excepted. Landlord shall maintain the roof, structure and common systems, and shall begin non-emergency repairs within ten (10) days after written request.

**8. Insurance**

Tenant shall maintain commercial general liability insurance with limits of not less than $1,000,000.00 per occurrence and $2,000,000.00 in the aggregate, naming Landlord as an additional insured, and shall deliver a certificate of insurance to Landlord before the Commencement Date and on each renewal of the policy.

**9. Assignment and Subletting**

Tenant shall not assign this Lease or sublet any part of the Premises without Landlord's prior written consent. Landlord shall respond to a request within fifteen (15) days. Any consent fee shall not exceed $750.00.

**10. Renewal; Termination at Expiration**

Tenant may elect to renew this Lease for one additional term of two (2) years, or to terminate this Lease at the Expiration Date, by giving Landlord at least ninety (90) days' prior written notice of its election before the Expiration Date. Notice shall be delivered by certified mail or nationally recognized overnight courier, addressed to Landlord at 8 Harbor Road, Tucson, AZ 85701, with a copy to Landlord's managing agent, Fenwick Realty Services.

Landlord shall acknowledge receipt of any notice within seven (7) days. Renewal rent shall be ninety-five percent (95%) of the then-prevailing market rate, as the parties shall agree.

**11. Holding Over**

If Tenant remains in possession of the Premises after the Expiration Date without Landlord's written consent, Tenant shall be a tenant at sufferance and shall pay holdover rent equal to two hundred percent (200%) of the Base Rent in effect immediately before the Expiration Date, prorated daily, plus all Additional Rent.

Acceptance of holdover rent shall not create a new tenancy or extend the Term.

**12. Default and Remedies**

If Tenant fails to pay rent within ten (10) days after written notice, or fails to perform any other obligation within thirty (30) days after written notice, Landlord may terminate this Lease or re-enter the Premises, and recover all rent and damages permitted by Laws.

**13. Amendments**

No amendment is effective unless signed by both parties. The parties' prior letter agreement dated September 26, 2022 is superseded by this Lease. Questions about this Lease may be directed to Fenwick Realty Services.

IN WITNESS WHEREOF, the parties have executed this Lease as of the date first written above. Summit Asset Group LLC (Landlord) / Blue Heron Logistics LLC (Tenant).